



INDIAN POLITY



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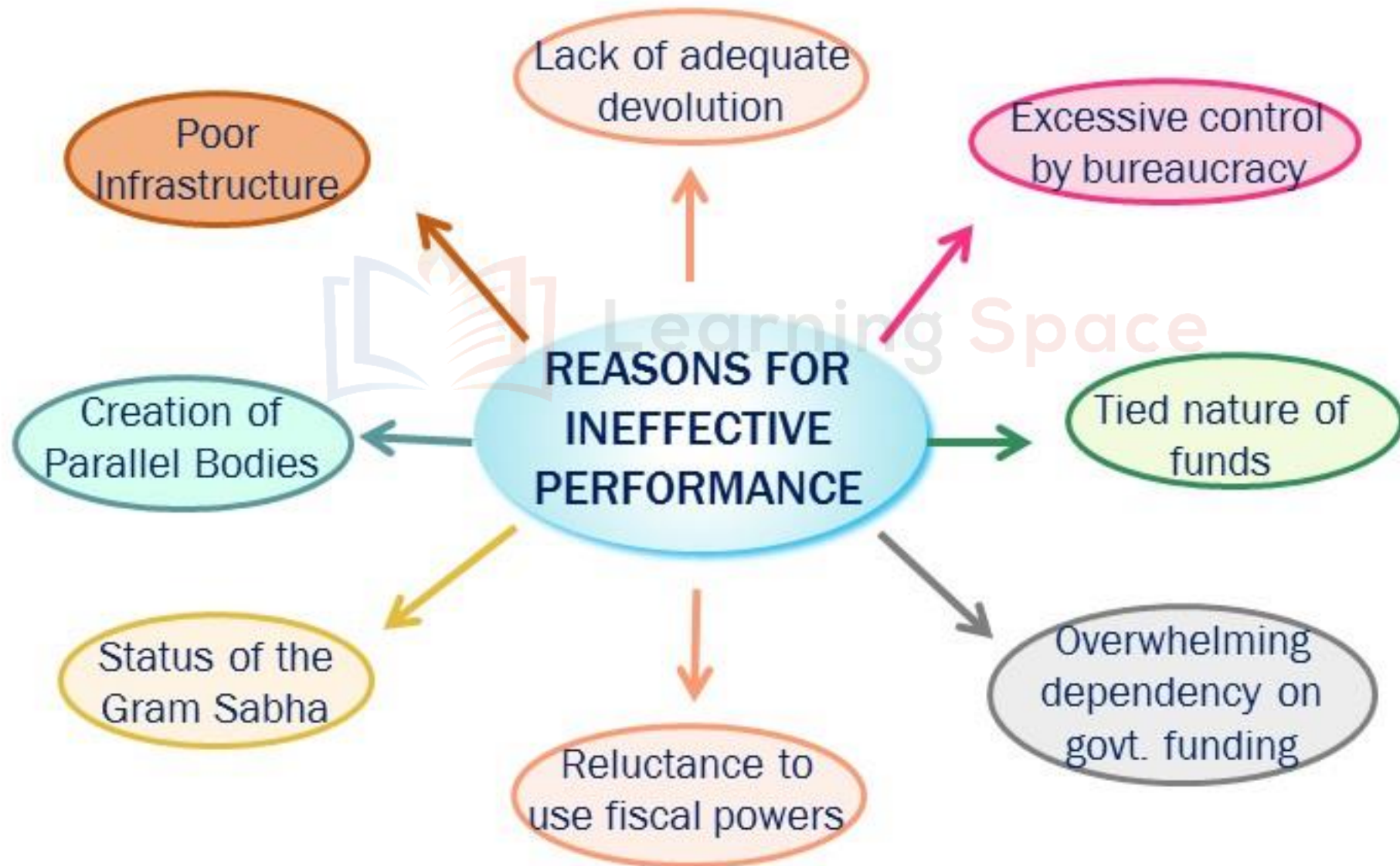


MUNICIPALITIES

SALIENT FEATURES OF 74TH CAA

MODULE – 91

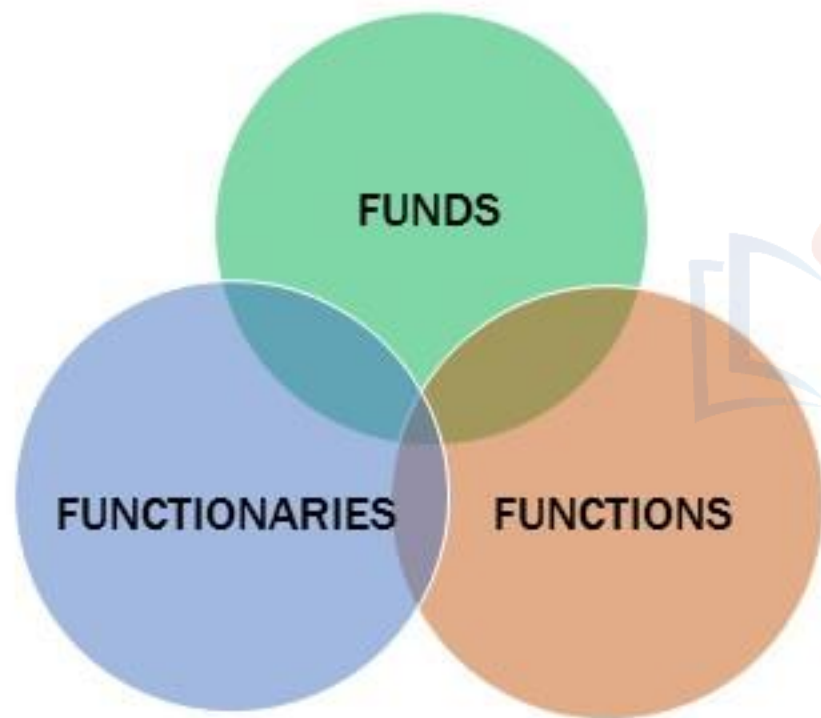
PANCHAYATS



PANCHAYATS

REASONS FOR INEFFECTIVE PERFORMANCE

1. LACK OF ADEQUATE DEVOLUTION



3Fs to the PRIs

- 1 Many States have not taken adequate steps to **devolve 3Fs to the PRIs** to enable them to discharge their constitutionally stipulated function.
- 2 Further, it is imperative that the PRIs have resources to match the responsibilities entrusted to them.
- 3 While SFCs have submitted their recommendations, not many States have implemented these or taken steps to ensure the **fiscal viability of the PRIs**.

PANCHAYATS

REASONS FOR INEFFECTIVE PERFORMANCE

2. EXCESSIVE CONTROL BY BUREAUCRACY

- 1 In some States, the Gram Panchayats have been placed in a position of subordination.



- 2 Hence, the Gram Panchayat Sarpanches have to spend a lot of time visiting Block Offices for funds and/or technical approval.



PANCHAYATS

REASONS FOR INEFFECTIVE PERFORMANCE

3. TIED NATURE OF FUNDS



- 1 This has two implications.
- 2 The activities stated under a certain scheme are not always appropriate for all parts of the district.
- 3 This results in unsuitable activities being promoted or an underspending of the funds.

PANCHAYATS

REASONS FOR INEFFECTIVE PERFORMANCE

4. OVERWHELMING DEPENDENCY ON GOVERNMENT FUNDING



- 1 A review of money received and own source funds shows the overwhelming dependence of Panchayats on government funding.
- 2 When Panchayats do not raise resources and instead receive funds from outside, people are less likely to request a social audit.

PANCHAYATS

REASONS FOR INEFFECTIVE PERFORMANCE

5. RELUCTANCE TO USE FISCAL POWERS



- 1** An important power devolved to GP (Gram Panchayat) is the right to levy tax on property, business, markets, fairs and also for services provided, like street lighting or public toilets, etc.
- 2** Very few Panchayats use their fiscal power to levy and collect taxes.
- 3** The argument pushed by Panchayat heads is that it is difficult to levy tax on your own constituency, especially when you live in the community.

PANCHAYATS

REASONS FOR INEFFECTIVE PERFORMANCE

6. STATUS OF THE GRAM SABHA



- 1 Empowering the Gram Sabhas could have been a powerful weapon for transparency, accountability and for involvement of the marginalized sections.
- 2 However, a number of the State Acts have not spelt the powers of Gram Sabhas nor have any procedures been laid down for the functioning of these bodies or penalties for the officials.

REASONS FOR INEFFECTIVE PERFORMANCE

7. CREATION OF PARALLEL BODIES

1. Often, Parallel Bodies (PBs) are created for supposedly speedy implementation and greater accountability.
2. However, there is little evidence to show that such PBs have avoided the evils including that of partisan politics, sharing of spoils, corruption and elite capture.
3. PBs usurp the legitimate space of PRIs and demoralize the PRIs by virtue of their superior resource endowments.

8. POOR INFRASTRUCTURE

1. Around 25 percent of the Gram Panchayats do not have basic office buildings.
2. The database for planning, monitoring etc., are lacking in most of the cases.
3. A large number of elected representatives of PRIs are semi-literate or literate and know little about their roles & responsibilities, programmes, procedures, systems. Often for want of good, relevant and periodic training, they are not able to perform their functions properly.

8 TYPES OF URBAN LOCAL GOVERNANCE BODIES



- *Municipal Corporation*
- *Municipality*
- *Notified area committee*
- *Town area committee*
- *Cantonment board*
- *Township*
- *Port trust*
- *Special purpose agency.*

1 The term 'Urban Local Government' in India signifies the **governance of an urban area by the people through their elected representatives.**

2 The jurisdiction of an urban local government is limited to a specific urban area which is demarcated for this purpose by the state govt.

3 The system of urban government was constitutionalized through the **74th Constitutional Amendment Act of 1992.**

4 At the Central level, the subject of 'urban local government' is dealt with by the following three ministries:

- i. Ministry of Urban Development, created as a separate ministry in 1985.
- ii. Ministry of Defence in the case of cantonment boards.
- iii. Ministry of Home Affairs in the case of Union Territories

MUNICIPALITIES

EVOLUTION OF URBAN BODIES

HISTORICAL PERSPECTIVE

The institutions of urban local government originated and developed in modern India during the period of British rule. The major events in this context are as follows:



- 1 In 1687-88, the first municipal corporation in India was set up at Madras.

- 2 In 1726, the municipal corporations were set up in Bombay and Calcutta.

- 3 Lord Mayo's Resolution of 1870 on financial decentralization visualized the development of local self-government institutions.

- 4 Lord Ripon's Resolution of 1882 has been hailed as the 'Magna Carta' of local self-government. He is called as the father of local-self government in India.

MUNICIPALITIES

EVOLUTION OF URBAN BODIES

HISTORICAL PERSPECTIVE



- 5 The Royal Commission on de-centralisation was appointed in 1907 and it submitted its report in 1909. Its chairman was Hobhouse.

- 6 Under the dyarchical scheme introduced in Provinces by the Government of India Act of 1919, **local self-government became a transferred subject** under the charge of a responsible Indian minister.

- 7 In 1924, the Cantonments Act was passed by the Central legislature.

- 8 Under the provincial autonomy scheme introduced by the Government of India Act of 1935, **local self-government was declared a provincial subject**.



MUNICIPALITIES

CONSTITUTIONALISATION



Rajiv Gandhi Government :

- In August 1989, the Rajiv Gandhi government introduced the 65th Constitutional Amendment Bill (i.e., Nagarpalika Bill) in the Lok Sabha.
- The bill aimed at strengthening and revamping the municipal bodies by conferring a constitutional status on them.
- Although the bill was passed in the Lok Sabha, it was defeated in the Rajya Sabha in October 1989 and hence, lapsed.

V. P. Singh Government :

- The National Front Government under V P Singh introduced the revised Nagarpalika Bill in the Lok Sabha again in September 1990.
- However, the bill was not passed and finally lapsed due to the dissolution of the Lok Sabha.



P V Narasimha Rao's Government :

- P V Narasimha Rao's Government also introduced the modified Municipalities Bill in the Lok Sabha in September 1991.
- It finally emerged as the **74th Constitutional Amendment Act of 1992** and came into force on **1 June 1993**.

MUNICIPALITIES

74TH AMENDMENT ACT OF 1992



- 1 This Act has added a new **Part IX-A** to the Constitution of India.

- 2 This part is entitled as '**The Municipalities**' and consists of provisions from Articles 243- P to 243-ZG. In addition, the act has also added a new **Twelfth Schedule** to the Constitution.

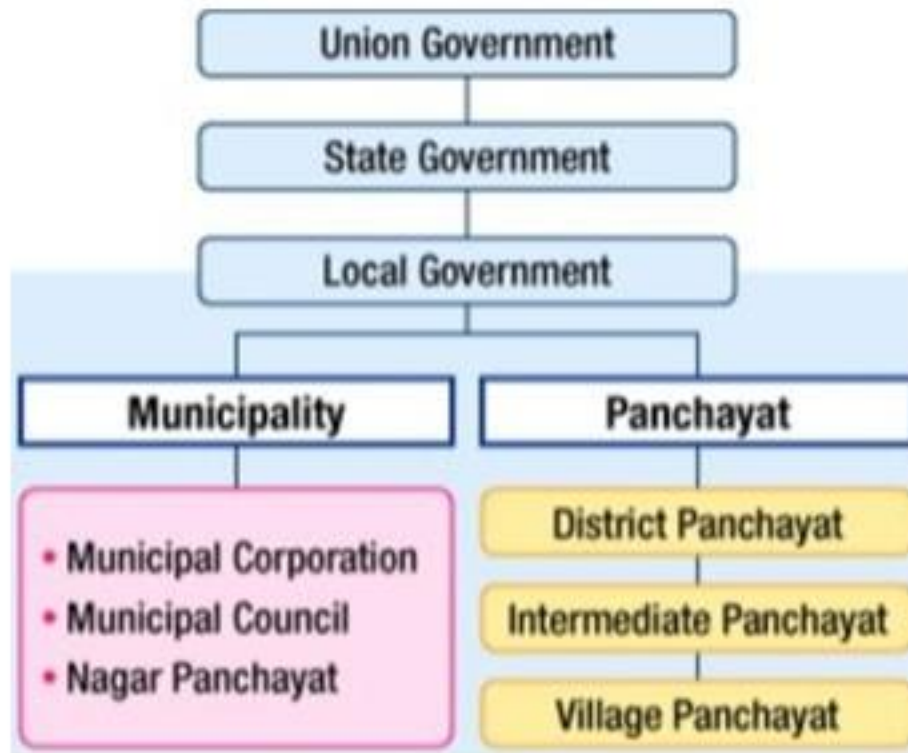
- 3 The act gave constitutional status to the municipalities.

- 4 It has brought them under the purview of **justiciable part of the Constitution**.

- 5 In other words, state governments are under constitutional obligation to adopt the new system of municipalities in accordance with the provisions of the act.

SALIENT FEATURES OF 74TH AMENDMENT ACT

1. THREE TYPES OF MUNICIPALITIES



The act provides for the constitution of the following three types of municipalities in every state.

1. A nagar panchayat (by whatever name called) for a transitional area, that is, an area in transition from a rural area to an urban area.
2. A municipal council for a smaller urban area.
3. A municipal corporation for a larger urban area.

SALIENT FEATURES OF 74TH AMENDMENT ACT

2. COMPOSITION

All the members of a municipality shall be elected directly by the people of the municipal area. For this purpose, each municipal area shall be divided into territorial constituencies to be known as wards. The state legislature may provide the manner of election of the chairperson of a municipality.



It may also provide for the representation of the following persons in a municipality:

1. Persons having special knowledge or experience in municipal administration without the right to vote in the meetings of municipality.
2. The members of the Lok Sabha and the state legislative assembly representing constituencies that comprise wholly or partly the municipal area.
3. The members of the Rajya Sabha and the state legislative council registered as electors within the municipal area.
4. The chairpersons of committees (other than wards committees).

SALIENT FEATURES OF 74TH AMENDMENT ACT

3. WARDS COMMITTEES



- 1 There shall be constituted a wards committee, consisting of one or more wards, within the territorial area of a municipality **having population of three lakh or more.**
- 2 The state legislature may make provision with respect to the **composition and the territorial area of a wards committee** and the manner in which the seats in a wards committee shall be filled.
- 3 It may also make any provision for the constitution of committees in addition to the wards committees.

SALIENT FEATURES OF 74TH AMENDMENT ACT

4. RESERVATION OF SEATS



1 The act provides for the reservation of seats for the scheduled castes and the scheduled tribes in every municipality in proportion of their population to the total population in the municipal area.

2 Further, it provides for the reservation of not less than one-third of the total number of seats for women.

3 The state legislature may provide for the manner of reservation of offices of chairpersons in the municipalities for SCs, STs and women.

4 It may also make any provision for the reservation of seats in any municipality or offices of chairpersons in municipalities in favour of backward classes.

SALIENT FEATURES OF 74TH AMENDMENT ACT

5. DURATION OF MUNICIPALITIES

- 1 The act provides for a **five-year term** of office for every municipality.
- 2 However, it can be dissolved before the completion of its term.
- 3 Further, the fresh elections to constitute a municipality shall be completed
 - a) **Before the expiry of its duration** of five years; or
 - b) **In case of dissolution**, before the expiry of a period of six months from the date of its dissolution
- 4 But, **where the remainder of the period is less than six months**, it shall not be necessary to hold any election for constituting the new municipality for such period.
- 5 Moreover, a municipality constituted upon the dissolution of a municipality before the expiration of its duration shall continue only for the remainder of the period for which the dissolved municipality would have continued had it not been so dissolved.
- 6 In other words, a **municipality reconstituted after premature dissolution does not enjoy the full period of five years** but remains in office only for the remainder of the period.

SALIENT FEATURES OF 74TH AMENDMENT ACT

6. DISQUALIFICATIONS

1 A person shall be disqualified for being chosen as or for being a member of a municipality if he is so disqualified

- a) Under any law for the time being in force for the purposes of elections to the legislature of the state concerned; or
- b) Under any law made by the state legislature.

2 However, no person shall be disqualified on the ground that he is less than 25 years of age if he has attained the age of 21 years.

3 Further, all questions of disqualifications shall be referred to such authority as the state legislature determines.

SALIENT FEATURES OF 74TH AMENDMENT ACT

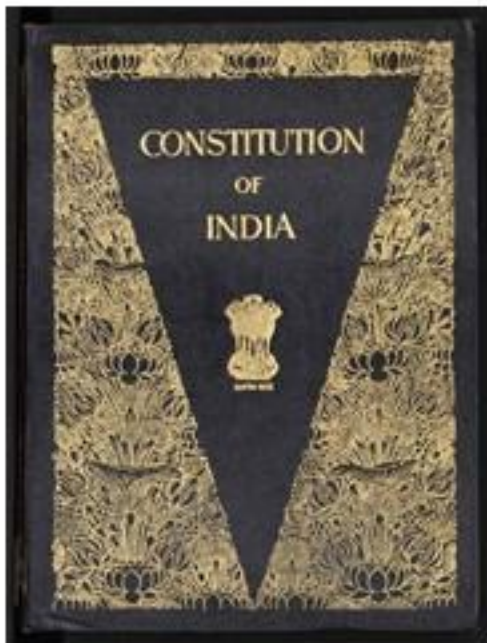
7. STATE ELECTION COMMISSION



- 1** The superintendence, direction and control of the preparation of electoral rolls and the conduct of all elections to the municipalities shall be vested in the state election commission.
- 2** The state legislature may make provision with respect to all matters relating to elections to the municipalities.

SALIENT FEATURES OF 74TH AMENDMENT ACT

8. POWERS AND FUNCTIONS



- 1 The state legislature may endow the municipalities with such powers and authority as may be necessary to enable them to function as institutions of self-government.
- 2 Such a scheme may contain provisions for the devolution of powers and responsibilities upon municipalities at the appropriate level with respect to
 - a) The **preparation of plans** for economic development and social justice;
 - b) The **implementation of schemes** for economic development and social justice as may be entrusted to them, including those in relation to the eighteen matters listed in the Twelfth Schedule.

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